Variable Data in CoStar Lease Analysis

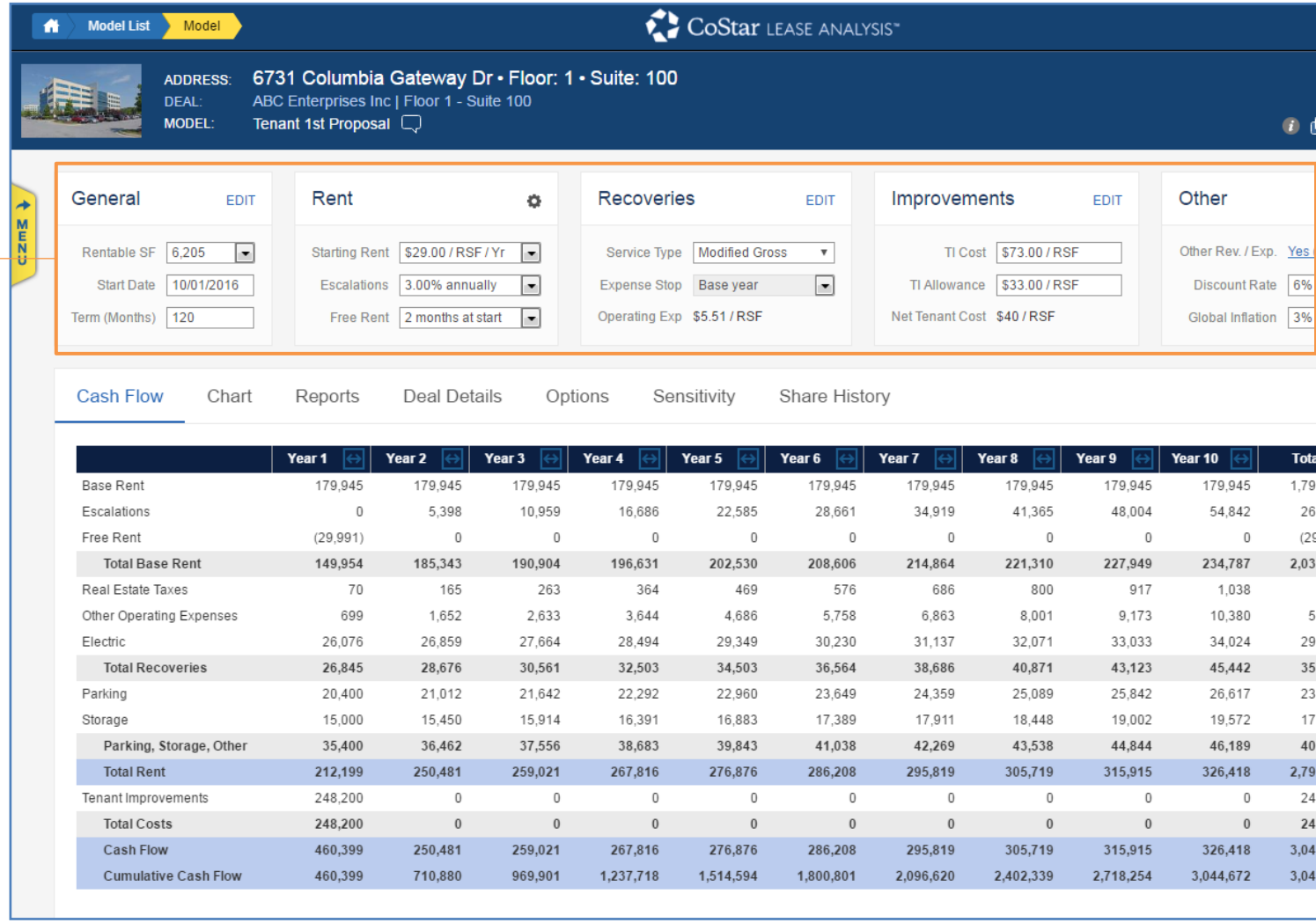
© 2016 CoStar Realty Information, Inc.

Variable Data in CoStar Lease Analysis

CoStar Lease Analysis was built to handle your **unique scenario** including **complex variables** such as:

- Changing rentable square feet over time
- Free rent spread over the lease term
- Multiple rental escalations at different times
- Varying global inflation rate effecting expenses and more
- Changing parking, storage, and more!

5 Input Tabs
All calculations start here

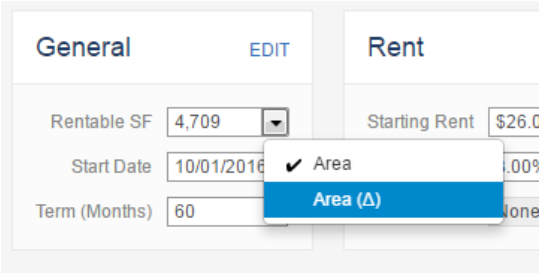


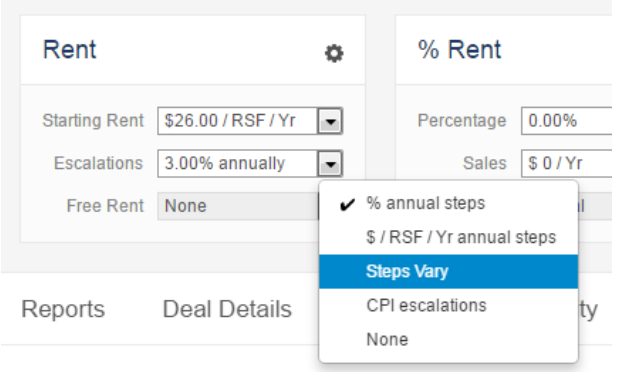
	Year 1	Year 2	Year 3	Year 4	Year 5	Year 6	Year 7	Year 8	Year 9	Year 10	Tota
Base Rent	179,945	179,945	179,945	179,945	179,945	179,945	179,945	179,945	179,945	179,945	1,79
Escalations	0	5,398	10,959	16,686	22,585	28,661	34,919	41,365	48,004	54,842	26
Free Rent	(29,991)	0	0	0	0	0	0	0	0	0	(29
Total Base Rent	**149,954**	**185,343**	**190,904**	**196,631**	**202,530**	**208,606**	**214,864**	**221,310**	**227,949**	**234,787**	**2,03**
Real Estate Taxes	70	165	263	364	469	576	686	800	917	1,038	
Other Operating Expenses	699	1,652	2,633	3,644	4,686	5,758	6,863	8,001	9,173	10,380	5
Electric	26,076	26,859	27,664	28,494	29,349	30,230	31,137	32,071	33,033	34,024	29
Total Recoveries	**26,845**	**28,676**	**30,561**	**32,503**	**34,503**	**36,564**	**38,686**	**40,871**	**43,123**	**45,442**	**35**
Parking	20,400	21,012	21,642	22,292	22,960	23,649	24,359	25,089	25,842	26,617	23
Storage	15,000	15,450	15,914	16,391	16,883	17,389	17,911	18,448	19,002	19,572	17
Parking, Storage, Other	**35,400**	**36,462**	**37,556**	**38,683**	**39,843**	**41,038**	**42,269**	**43,538**	**44,844**	**46,189**	**40**
Total Rent	**212,199**	**250,481**	**259,021**	**267,816**	**276,876**	**286,208**	**295,819**	**305,719**	**315,915**	**326,418**	**2,79**
Tenant Improvements	248,200	0	0	0	0	0	0	0	0	0	24
Total Costs	**248,200**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**0**	**24**
Cash Flow	**460,399**	**250,481**	**259,021**	**267,816**	**276,876**	**286,208**	**295,819**	**305,719**	**315,915**	**326,418**	**3,04**
Cumulative Cash Flow	**460,399**	**710,880**	**969,901**	**1,237,718**	**1,514,594**	**1,800,801**	**2,096,620**	**2,402,339**	**2,718,254**	**3,044,672**	**3,04**

Click here to learn more about **creating a model** in CoStar Lease Analysis

Variable Data in CoStar Lease Analysis – Parking Spaces

Data can be input on a month by month basis using the "Δ" or **Steps Vary** options. This type of data entry is available as an input option in the sections detailed to here





Input Section	Variable Data	Example
General	Rentable SF	SF changes at some point during term
Percentage Rent	Sales	Sales or Sales/RSF
Percentage Rent	Breakpoint	Yearly or Yearly/RSF
Recoveries	Operating Expenses	Expenses change over term
Other - Parking	Spaces and $	# of spaces or cost changes over term
Other – Storage	Square feet and $	SF or cost changes over term
Other – Other Rent	$	Signage, etc.
Other – Other Costs	$	Moving costs, etc.
Other – Concessions	$	Moving cost reimbursement, etc.

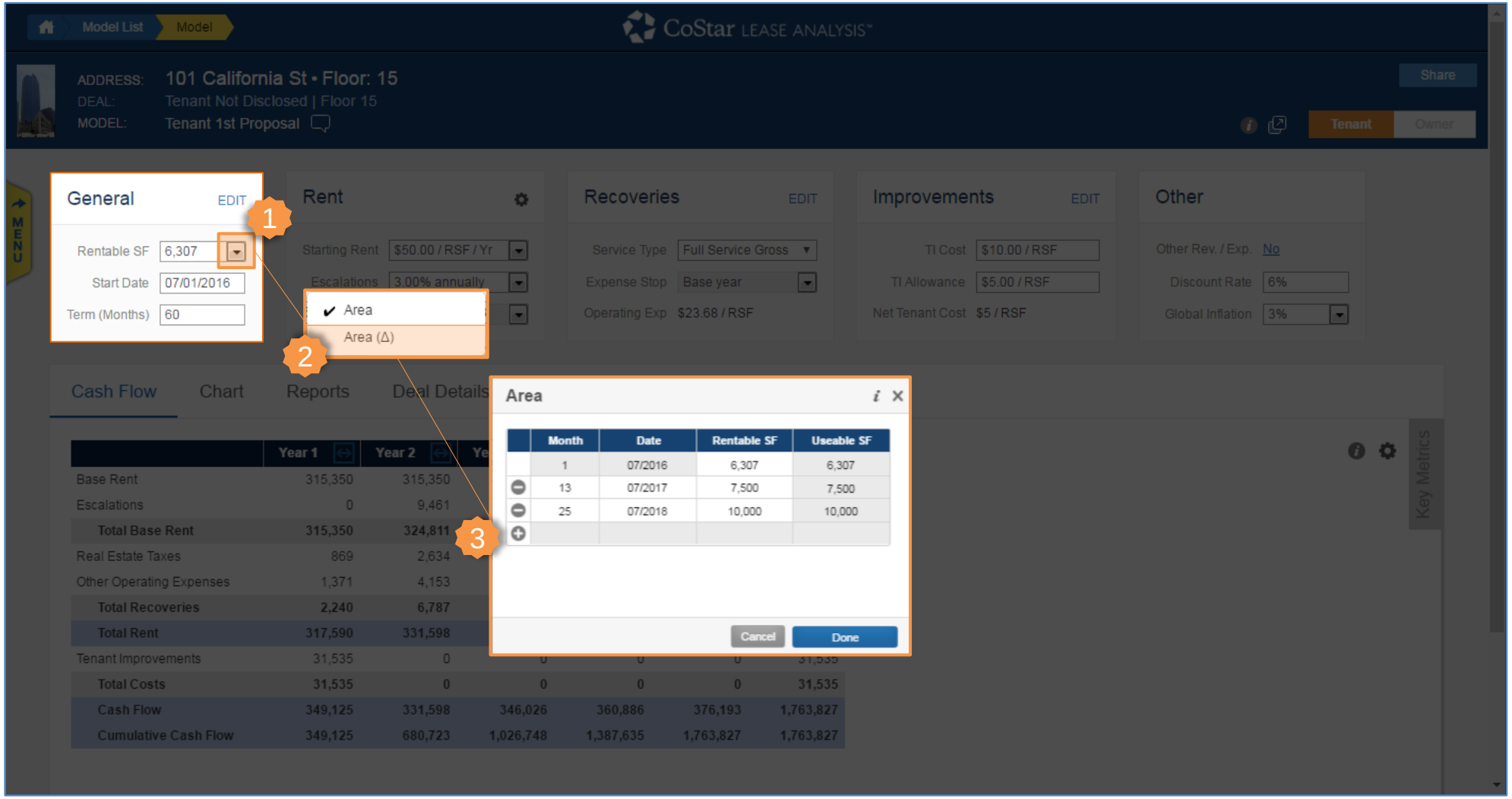
Variable Data in CoStar Lease Analysis – Rentable Square Feet

Some situations will require an adjustment in the rentable square feet during the term. Here are three steps to add a fluctuating square footage

From a Model

1. Click the drop down menu next to **Rentable SF**
2. Click **Area (Δ)**
3. Click ⊕ to add rows

Variable Square Footage (SF)
The square footage can increase or decrease during the term of the lease. Enter the dates and corresponding variable SF.

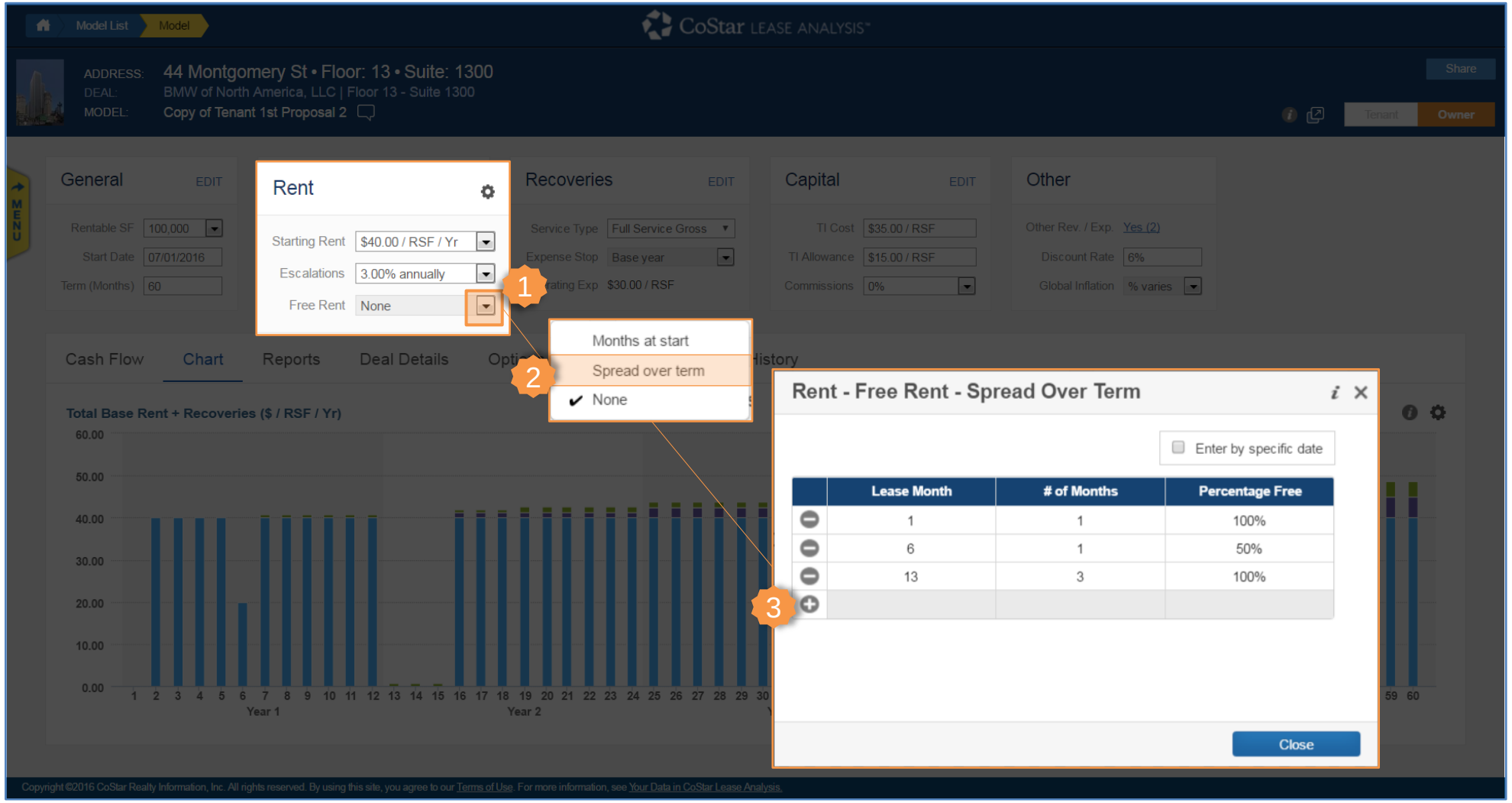


Variable Data in CoStar Lease Analysis – Free Rent Spread Over The Term

Generally Free Rent is given up front, helping tenants during build out; however, sometimes we will need to spread free rent throughout the term.

From a Model

1. Click the drop down menu next to **Free Rent**
2. Click **Spread over term**
3. Click ⊕ to add rows



Varying Free Rent
Notice the chart in the background and how it correlates to the Free Rent schedule.

Variable Data in CoStar Lease Analysis – Base Rent Escalations (Step Increases)

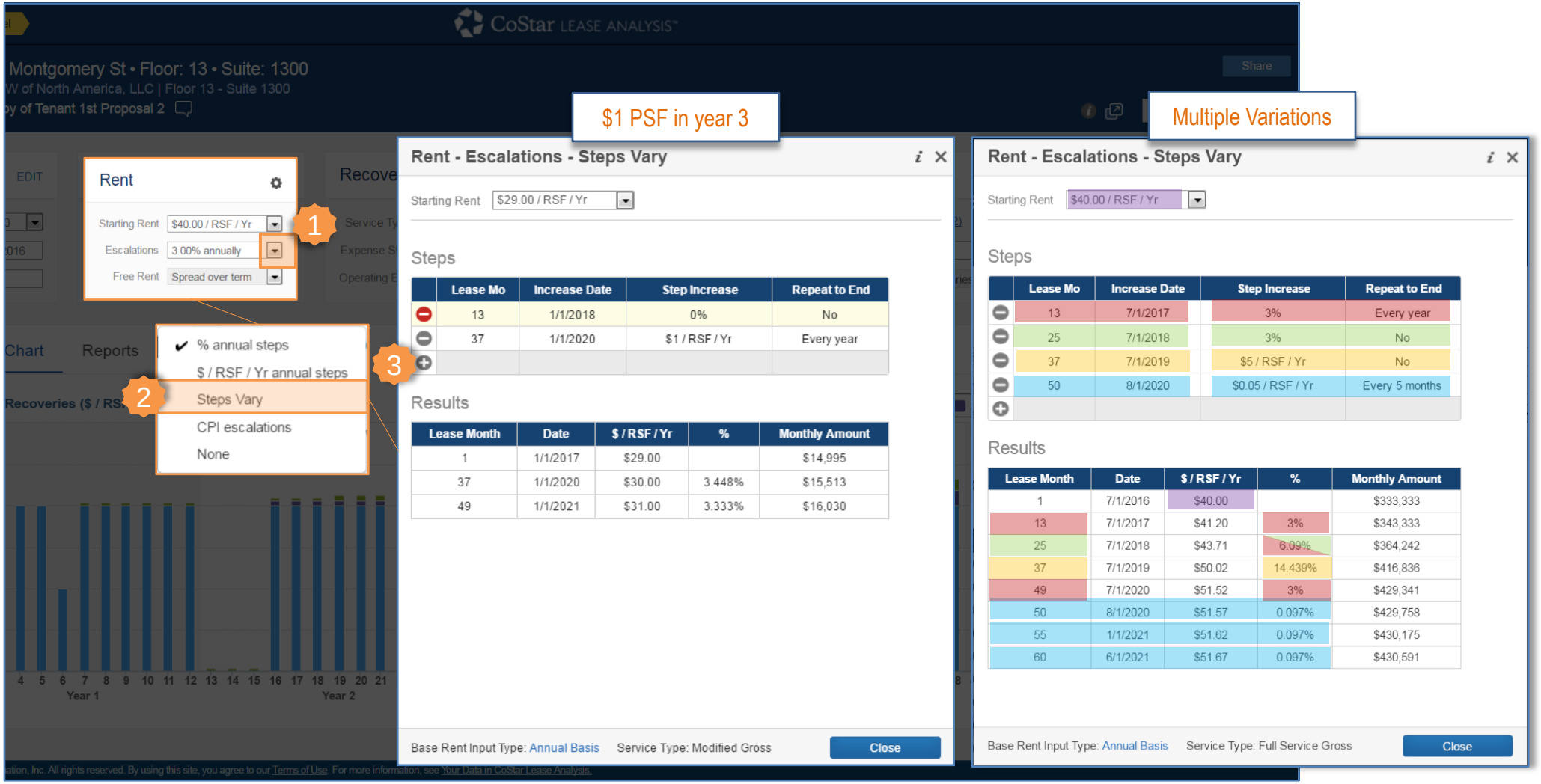
The Global Inflation Rate always defaults to 3%; but we can modify this generic step increase rate to vary throughout the lease term or change to a $ PSF.

From a Model

1. Click **Escalations**
2. Click **Steps Vary**
3. Click ⊕ to add rows

Base Rent Escalations

Notice the steps and how they correlate with the results (color coded). We can mix steps by either percentages or prices per SF. We can also alter the repetition of each step in the last column.

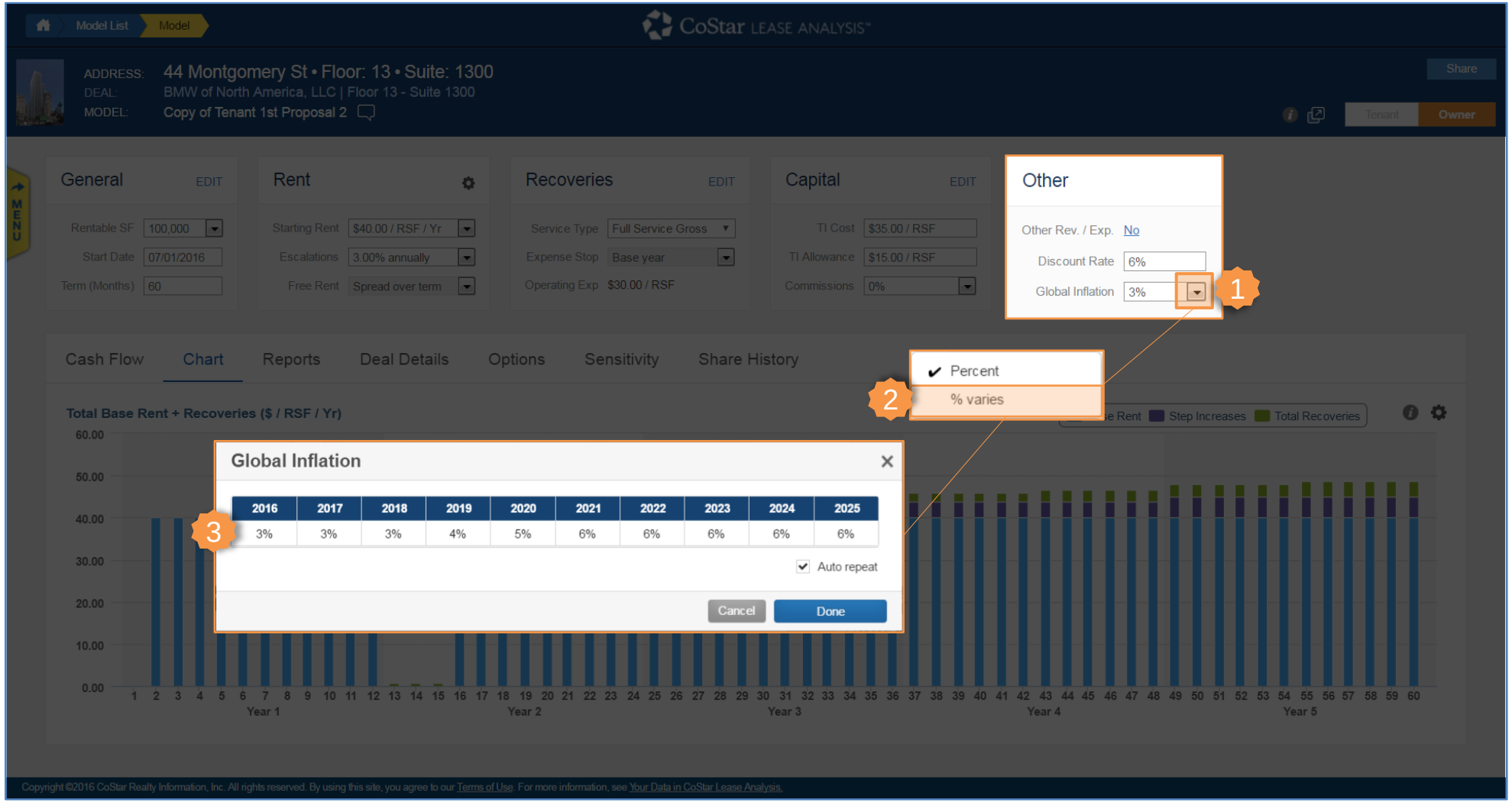


Variable Data in CoStar Lease Analysis – Global Inflation Rate

The Global Inflation Rate always defaults to 3%; but we can modify this generic inflation rate to vary throughout the lease term

From a Model

1. Click **Global Inflation**
2. Click **% varies**
3. Change Inflation Rates

Varying Global Inflation

Unless altered, the Global Inflation Rate is used to escalate all Operating Expenses under the Recoveries tab and everything included in the Others tab.